

005387.KS pitch deck

The full court record is in hand (evidence pack + both benches), so no further tool calls are needed — writing the deck directly from the benches' own findings and math.

PITCH — 005387.KS — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: NO ENTRY TODAY. The red bench's “this idea is dead” was overturned, but its “don't buy at this price” survived: after-tax income is ~3.1% (below our 3.5% bar), there is no forced-convergence edge yet, and the price is mid-range — the position is **gated**, **not killed**, and reopens at $\leq \text{₩}180,000$ or on a cancellation event.

What we believe

Hyundai Motor's 2nd-series preferred shares (005387.KS, ₩201,500) are the same economic claim on Hyundai's cash flows as the common stock (005380.KS, ₩408,000), minus the vote — yet they trade at a **50.6% discount** to the common. Our own sum-of-the-parts work on Hyundai (completed the same day, live Korean prices, share counts reconciled to Korean regulatory filings) says the *common* is above fair value in every scenario we ran (fair ₩282,000–372,000), while the preferred is 28–46% *below* fair. In plain terms: the distortion at Hyundai is not the car business — it's the gap between the two share classes.

Three things make the preferred worth watching rather than owning today:

1. **A committed dividend.** Hyundai's 2025–2027 shareholder-return plan promises at least ₩10,000/year per share (₩2,500 quarterly, plus a 25%+ payout commitment and a ₩4 trillion buyback). The July 23 quarterly dividend was held at ₩2,500 even though operating profit fell 20.8% — the policy held under stress.
2. **A new legal clock on buybacks becoming real value.** A March 2026 amendment to Korea's Commercial Code now *requires* companies to cancel repurchased shares — newly bought shares within one year of purchase, pre-existing treasury stock by September 5, 2027, with personal fines on directors for non-compliance ([Ministry of Justice implementation guide, 2026-03-11](#)). For the first time, the “buybacks never actually shrink the share count” objection has a statutory expiration date.
3. **The discount itself is unstable in our favor's direction.** It went from 28% at end-2025 to 53.4% in June 2026 to ~50.6% now — the widening was driven by index flows that only touch the common. That mechanism can unwind.

What we do **not** believe: that this is a buy at today's price. The income isn't high enough after taxes, and the company's buyback execution so far has short-changed the preferred class (preferreds got 8.45% of

buyback spending versus their ~10–11% weight in the capital structure), so there's no active engine closing the gap yet.

What the market believes

The market prices the preferred as a permanently discounted, second-class instrument: a family-controlled voting structure where the non-voting class never gets treated equally, in a market (Korea) with a long history of exactly that. The 50%+ discount says investors expect (a) buybacks to keep favoring the common, (b) the generous dividend policy to be a temporary “Value-up” gesture that can be rewritten after 2027, and (c) no mechanism that ever forces the two classes toward each other. The recent widening also reflects mechanical selling pressure: passive index flows land on the common only, so when Hyundai de-rated ~39% off its 52-week high on tariff costs and a cooling AI/robotics narrative, the preferred fell alongside it without its own bid.

Why we might have edge

- **The statutory cancellation clock is new and under-appreciated.** The red (skeptical) bench itself initially got this law *backwards* — reading it as “cancellation got easier, so the absence of cancellation is damning” — when the law actually *mandates* cancellation on a schedule. If a careful adversarial bench misread it, the market plausibly hasn't fully priced it. The ₩33.8bn of preferred shares Hyundai bought in 2026 must, by statute, be cancelled within a year.
- **Our valuation work is independent and recent.** The sum-of-the-parts giving “common above fair, preferred well below fair” was built from live prices and filing-reconciled share counts, and our own documented bias runs *conservative* (we've measured our fair values coming in ~13% low), which strengthens, not weakens, the “preferred is cheap” side.
- **Two dated, checkable catalysts.** The Company Investor Day on August 26, 2026 will address the post-2027 return policy and could announce per-class cancellation details; September 5, 2027 is the legal deadline for cancelling pre-existing treasury stock. Both are events we can grade, not vibes.
- **The discount's own history shows it can close fast** — it was 28% seven months ago.

Why it might be priced in

Stated symmetrically, the bear case is respectable:

- **No convergence engine exists today.** Buyback execution is *below* the preferred's pro-rata share. The thesis's own numbers concede this. A discount with no closing mechanism can stay wide indefinitely — Korea offers decades of examples.
- **The dividend floor is a policy through 2027, then a question mark.** The charter minimum is ₩100/year. The same August 26 event we count as a catalyst is also where the post-2027 regime gets rewritten — it's two-sided.

- **The income doesn't clear our own bar.** ~5.0% gross is ~3.1% after federal, California, and Korean withholding taxes for this account — below the 3.5% we require for “get paid fairly to wait” positions carrying full automaker equity risk in an unhedged currency.
- **If the common falls to fair value, the preferred can fall with it.** Red's version of this (a locked ratio implying -9% to -31%) was overturned as internally inconsistent — you can't freeze a ratio that moved 25 points in 7 months *because of* the very flows whose unwind you're modeling. But the softer version stands: the direction of the preferred over any given quarter is dominated by the common, and our own model says the common is expensive.
- **Entry isn't distressed.** The preferred is already +22.2% off its 52-week low. Part of the snap-back happened without us.

What we checked ourselves

claim	how checked	found	confirmed?
Preferred at ₩201,500, -39.3% off 52w high, +22.2% off 52w low	Machine-built evidence pack (Yahoo tape); live IBKR quote was permission-denied for both benches this session — a coverage gap against our live-price rule	Pack tape governs	YES (pack basis)
Q2 dividend held at ₩2,500 despite OP -20.8%	Korean press, two independent outlets (BusinessPost)	Declared July 23; resolved a previously open thesis item pro-thesis	YES
₩10,000/yr floor “expires at the Aug-26 Investor Day” — red bench error	Blue bench re-checked the policy's primary coverage	The floor is contractually part of the 2025–2027 plan; Aug-26 rewrites only the post-2027 regime	YES — red's timing claim reduced
March-2026 law makes cancellation <i>optional and easy</i> , so silence is damning — red bench error, inverted	MOJ implementation guide + four law-firm client alerts	Law mandates cancellation: new buybacks within 1 year, legacy treasury by 2027-09-05, director fines	YES — red overturned
After-tax income is 3.8% — our own thesis error	Both benches re-ran the arithmetic (23.8% federal + ~13.3% CA, 15% Korean withholding creditable federally)	~ 3.1% ; the original number forgot state tax	YES — thesis corrected down
Frozen-ratio downside of -9% to -31% — red bench error (method)	Blue consistency check against the record's own flow mechanism	Ratio moved 28%→53.4%→50.6% in 7 months; freezing it while unwinding its cause is incoherent. At the 28% discount, common-at-fair implies ₩203,000–268,000 (flat to +33%)	Red reduced FATAL→price question
Buyback execution favors the common (preferred got 8.45% vs ~10–11% weight)	Per-class counts from Korean regulatory (DART) filings, in the original thesis	Confirmed; no tilt edge today	YES

claim	how checked	found	confirmed?
Common above fair in every branch (₩282–372k fair vs ₩408k)	Desk SOTP from commit record; the report file itself was unreadable (permission-denied) for both benches	Anchor rests on the commit summary, not a re-read	PARTIAL — both-bench coverage gap
A 2026 cancellation filing exists	Web search only; direct DART pull not done	None found — but web-search absence ≠ filing absence	NO — open
Currency: income is in unhedged Korean won	IBKR FX series pull permission-denied	No KRW series in the record	NO — open

PROPOSED ENTRY BANDS

The courts say **no entry today** — book state FLAT. These are the **reopen bands**, taken from the benches' own arithmetic:

Price reopen: ₩180,000 or below. At ₩10,000/yr, ₩180,000 is exactly where after-tax income rebuilds to the 3.5% bar ($10,000 \times 0.63 \div 0.035 = ₩180,000$). That is −10.7% from here and +9.2% above the 52-week low of ₩164,900. Below that level the position qualifies as “paid fairly to wait” on its own income, with the class-gap closure as free upside. A touch of the band triggers a re-court, not an automatic buy.

Event reopens (any one, at any price — triggers re-court immediately): - Aug 26, 2026 Investor Day announces preferred-share cancellation at ≥10–11% of the ₩4tn program (i.e., at least pro-rata). This is red's own stated mind-changer. - **Any DART filing cancelling 2026-bought or treasury preferred shares** — the statute now forces a schedule, so the first filing marks the clock starting to bite. - **The discount re-widens toward the June-2026 wide (~53.4%)** with the ≥3.5% after-tax income bar met.

Structural falsifier to watch (cuts both ways): if the common de-rates toward ₩300,000 and the preferred discount *narrows* while it happens, the “the discount is mechanical index-flow” doctrine is refuted in the bullish direction — re-court. If the common de-rates and the discount holds or widens, the bear's “no convergence, full downside participation” reading gains weight.

Exits/trims: none — no position exists. **Sizing:** set by the re-court that a trigger fires, not by this deck; the prior ledger stance (starter-size, July 14) was restored after a bookkeeping error but does not authorize entry at today's price. **Catalyst dates:** Aug 26, 2026 (Investor Day — company-PR confirmation still owed); ~late Oct 2026 (next quarterly results, unconfirmed); Sep 5, 2027 (statutory treasury-cancellation deadline, set by law).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 164900.0 (deck-provisional: 52-week low breach — distressed-entry re-court)

- dated pack 005387.KS|2026-07-23: Hyundai Q2 (Jul-23/24): tariff run-rate vs the >\$1bn/yr pace (Q1 OP -30.8%), buyback tranche + THE PREF SPLIT of it (per-class counts), TSR
- dated pack 005387.KS|2026-08-26: 005387.KS: Hyundai Investor Day — per-class cancellation split + post-2027 dividend regime (date confirmed=False)
- dated pack 005387.KS|2026-10-23: 005387.KS: Q3-26 results (approx; needs company PR confirmation) (date confirmed=False)
- dated pack 005387.KS|2027-09-05: 005387.KS: Statutory deadline to cancel pre-revision treasury shares (MOJ guide 2026-03-11) (date confirmed=True)

What remains unverified

- **The SOTP anchor was cited, not re-read.** Both benches were denied access to the underlying report file and worked from the commit record. The ₩282–372k fair range for the common — load-bearing for both the bear’s downside math and the bull’s cheapness claim — should be re-opened from the report itself before adjudication.
- **Live executable quote.** Both benches were denied IBKR access; all price math rests on the evidence-pack tape. Standing rule requires a live pull before any order.
- **No 2026 cancellation filing has been ruled out at the source.** Web-search absence is weak evidence; the DART pull is the actual test.
- **Whether the SOTP’s “preferred 28–46% below fair” is independent** of the class-discount assumption itself, or partially circular — unresolvable without the report.
- **Currency exposure** — entirely unmodeled.
- **Controller share-pledge status** — unchecked (wrong-jurisdiction tooling; needs DART).
- **The Aug 26 Investor Day date** itself — treated as firm throughout the court record but not yet confirmed against a company press release.

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